

RTS Power Corporation Ltd

Brickwork Ratings downgrades ratings for the bank loan facilities of Rs.104.96 Crs of RTS Power Corporation Ltd.

Particulars:

Facility	Amount (Rs. Crs)		Tenure	Rating*	
	Previous	Present		Previous (09 Nov 2020)	Present
Fund Based	22.74	23.24	Long Term	BWR BBB- Negative	BWR BB+ Stable (Downgrade)
Non Fund Based	50.27	48.77			
Fund Based	NIL	2.00	Short Term	BWR A3	BWR A4+ Downgrade
Non Fund Based	36.95	30.95			
Total	109.96	104.96	Rupees One Hundred Four crores and Ninety Six Lakhs Only		

*Please refer to BWR website www.brickworkratings.com/ for the definition of the ratings
Complete details of bank facilities are provided in Annexure-I

RATING ACTION / OUTLOOK

Brickwork Ratings (BWR) downgrades the ratings of bank loan facilities of RTS Power Corporation Ltd (RPCL or the company) due to substantial decline in revenues and profits of the company in Q1FY22 and expected weak performance in the current financial year due to low orders in hand. Revenues and profits of the company have been declining continuously for the past few quarters and the company has apparently not been able to take adequate steps to improve the same. The order book position of the company is also weak and does not give adequate indications that during FY22 the company would even be able to match the level of revenues and profits achieved in FY21.

The ratings, however, draw support from experience of the promoters and directors, adequate liquidity and comfortable financial risk profile despite decline in revenues and net profits.

Overall financial risk profile of the company is comfortable with higher profit margins, low gearing and better interest coverage. Gearing indicators viz. Total Debt/TNW and TOL/TNW ratios at 0.06x and 0.32x respectively and interest coverage (ISCR) at 4.61x respectively indicates a comfortable financial risk profile. Further, the company has negligible institutional term debt obligations and the average utilisation of fund-based working capital facilities has also been very low. The company has only been utilising non-fund based facilities to some extent for issuing BGs in favor of contract awarding entities.



Overall bank limits utilisation have been kept, by the company, to the minimum in order to reduce finance expenses. Fixed expenses like power and fuel expenses have been curtailed by reducing connected load. Staff expenses and travelling and allowance expenses have been curtailed during the economic downturn to save on operating expenses. All these steps have enabled the company to generate adequate profits to support the business. As the majority of the workforce is working on contract basis, the company has been able to save on staff expenses during the downturn. Overall working capital utilisation has reduced and risks of default in debtors has also reduced substantially.

The company did not avail 6M moratorium during FY21 and also did not avail COVID 19 emergency line of funding and managed the business from existing lines, owned funds and internal accruals. No proposal for OTR has been made till date.

Outlook: Stable

BWR believes that RPCL's overall risk profile will be maintained over the medium term. The Stable outlook indicates a low likelihood of a rating change over the medium term. The rating outlook may be revised to 'Positive' in case the revenues and profits show sustained improvement. The rating outlook may be revised to 'Negative' if the revenues go down further and profit margins show lower than expected figures.

Last rating rationale and the other rating details are available at the following link:

<https://www.brickworkratings.com/Admin/PressRelease/RTS-Power-Corporation-9Nov2020.pdf>

RATING SENSITIVITIES

Upward: Substantial improvement in operating revenues, profits and order book position would support upward rating action.

Downward: Further deterioration in revenues and profits would attract downward rating action.

Company Profile

RTS Power Corporation Ltd., incorporated in 1947 with its current registered office at 56 Netaji Subhas Road, Kolkata is engaged in the business of manufacturing and marketing of extra high voltage power and distribution transformers. RPCL is the flagship company of the Bhutoria group and Rajendra Bhutoria, Abhay Bhutoria, Sardul Singh Jain, Alok Kumar Banthia, Rachna Bhutoria and Ram Lal Saini are the directors in the company. Initially, the company was incorporated as a private limited company and converted into a public limited company in the year 1984.

KEY FINANCIAL INDICATORS

Key Parameters	Units	2020 (Aud.)	2021 (Aud.)
Operating Revenue	Rs. crs	112.27	67.78
EBITDA	Rs. crs	8.71	9.73
PAT	Rs. crs	11.86	4.11
Tangible Net worth	Rs. crs	125.24	129.24
TOL/TNW	Times	0.39	0.32
Current Ratio	Times	2.73	2.88

NON-COOPERATION WITH PREVIOUS RATING AGENCY IF ANY : NIL

RATING HISTORY for the past three years (Including withdrawn and suspended)

Instrument /Facility	Current Year (2021)			Rating History						
Bank Loan Facility	Current Rating			09 Nov 2020			09 Sept 2019			2018
	FB	Rs.23.24 crs	BWR BB+ Stable	FB	Rs.23.24 crs	BWR BBB-Negative	FB	Rs.22.74 crs	BWR BBB-Stable	N.A
	NFB	Rs.48.77 crs								
	FB	Rs.2crs	BWR A4+	FB	Rs.2 crs	BWR A3	NFB	Rs.36.95 crs	BWR A3	
	NFB	Rs.30.95 crs		NFB	Rs.30.95 crs		Total	Rs.109.96 crs (Rupees One Hundred Nine crores and Ninety Six Lakhs only)		
	Total	Rs.104.96 crs (Rupees One Hundred Four crores and Ninety Six Lakhs Only)		Total	Rs.104.96 crs (Rupees One Hundred Four crores and Ninety Six Lakhs Only)					

ANNEXURE I

RTS Power Corporation Ltd Details of Bank Facilities rated by BWR

	Sl. No.	Name of the Bank	Type of Facilities	Long Term {(₹ Cr)	Short Term {(₹ Cr)	Total (₹ Cr)
Consortium	1	ICICI Bank , Jaipur	CC	3	NIL	3
	2		LC	NIL	1	1
	3		BG	7	NIL	7
	4	Bank of Baroda, Jaipur	CC	3.19	NIL	3.19
	5		LC	NIL	13.79	13.79
	6		BG	16.37	NIL	16.37
	7	Punjab National Bank (erstwhile Oriental Bank of Commerce, Jaipur)	CC	3.8	NIL	3.8
	8		LC	NIL	4.66	4.66
	9		BG	8.5	NIL	8.5
Non Consortium	10	Bank of Baroda, Jaipur	CC	8	NIL	8
	11		LC	NIL	10	10
	12		BG	15	NIL	15
	13	Canara Bank, Agra	CC	0.25	NIL	0.25
	14		BG	0.4	NIL	0.4
	15	State Bank of India, Kolkata	CC	5	NIL	5
	16		LC	NIL	1.5	1.5
	17		BG	1.5	NIL	1.5
	18		FBD/EBR	NIL	2	2
TOTAL				72.01	32.95	104.96

TOTAL Rupees One Hundred Four crores and Ninety Six Lakhs Only

COMPLEXITY LEVELS OF THE INSTRUMENTS - Simple

For more information, visit www.brickworkratings.com/download/ComplexityLevels.pdf

Hyperlink/Reference to applicable Criteria

- [General Criteria](#)
- [Approach to Financial Ratios](#)
- [Short Term Debt](#)
- [Manufacturing Companies](#)

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